

the entire period. The horizon should be greater than life expectancy, as retirees have a 50 percent chance of living beyond the average.

In 1994, Bill Bengen considered thirty years to be a reasonable planning horizon for sixty-five-year-old couples, resulting in a planning age of ninety-five. Many people use different planning ages, such as 100 or 105. Those who are either younger or older than sixty-five may need to plan for more or less than thirty years. Even sixty-five-year-olds may wish to plan for different retirement durations depending on how conservative they wish to be and how fearful they are of outliving their investment portfolio. A sixty-five-year-old planning to live to 100 or 105 would need to plan for a thirty-five or forty-year horizon.

The assumed retirement duration is of utmost importance. Retirement simulations based on longer time horizons will guide optimal retirement income solutions toward:

- lower withdrawal rates,
- higher stock allocations, and
- a stronger case for guaranteed income retirement products.

Writing in Harold Evensky and Deena Katz's *Retirement Income Redesigned*, Bob Curtis makes a convincing case for fixed horizons. He argues that longevity is not a "probability problem" but a "possibility problem," adding, "What possible sense does it make to tell your client that she can spend more money now because you're assuming in *some* of the Monte Carlo iterations that she'll die early? How does a person die 'some of the time?'"

It is a good question. But at the same time, does it make sense to lower spending now so you can plan to spend just as much at one hundred as at age sixty-five, despite the low chance of living to one hundred? The answer is *yes* and *no*. It truly depends on your unique preferences regarding these trade-offs.

The conservative approach is to plan for a longer horizon by spreading out distributions from your portfolio. You will have to spend less and most likely leave a larger than planned bequest. Traditional safe withdrawal rate